



CA INTER

GST

AMENDMENT

MAY 2026

MUST WATCH



Charge Under GST

TDS/TCS

Section 9(5) – Notified services tax on which is paid by the electronic commerce operator (ECO)

Following categories of services supplied through ECO has been notified for this purpose

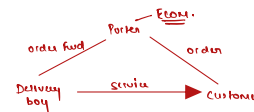
- Services by way of transportation of passengers** by a radio-taxi, motorcab, maxicab, motor cycle, or any other motor vehicle;
- Services by way of transportation of passengers by Omnibus** except where service provider is company.
- Services by way of providing accommodation in hotels**, inns, guest houses, clubs, campsites or other commercial places meant for residential or lodging purposes, except where the person supplying such service through electronic commerce operator is liable for registration under section 22(1) of the CGST Act.
- Services by way of house-keeping**, such as plumbing, carpentering etc, except where the person supplying such service through electronic commerce operator is liable for registration under sub-section 22(1) of the CGST Act.
- Supply of restaurant service** other than the services supplied by restaurant, eating joints etc. located at specified premises.
- Services by way of local delivery** except where the person supplying such services through electronic commerce operator is liable for registration under sub section (1) of section 22 of the Central Goods and Services Tax Act, 2017.

EXEMPTIONS FROM GST

Services by way of transportation of goods-

(a) by road except the services of—

- ~~(i)~~ a goods transportation agency; — **Tax**.
- ~~(ii)~~ a courier agency; — **Tax**.



Explanation. - Nothing contained in this entry shall apply to:

- local delivery services provided by an Electronic Commerce Operator; or
- local delivery services provided through an Electronic Commerce Operator.

New exemption introduced

1.6.0.

- Services of life insurance/ health insurance business provided by an insurer to the insured, where the insured is not a group.

Explanation: For the removal of doubts, it is hereby clarified that:

- This exemption shall apply to a contract of insurance where the insured is an individual, or an individual and family of the said individual.
- For the purposes of (a) above, family shall include all individuals insured as family in the contract of insurance.



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For the purposes of above entries, 'group' means group of persons who join together with a commonality of purpose or for engaging in a common economic activity, other than availing insurance, and includes:

- a. **Employer- employee groups**, where an employer-employee relationship exists between the master/group policyholder and the members of the group in accordance with the applicable laws;
- b. **Non employer- employee groups**, where a clearly evident relationship exists between the master/group policyholder and the members of the group, for services/ activities other than insurance.

Amendments in the existing definition

'Goods transport agency' means any person who provides service in relation to transport of goods by road and issues a consignment note by whatever name called, but does not include

- (i) an electronic commerce operator by whom the services of local delivery are provided,
- (ii) an electronic commerce operator through whom the services of local delivery are provided.

Time Of Supply

As per recent circular voucher is neither goods nor service, therefore no gst shall be applicable on issue of voucher. Hence, Section 12(4) & 13(4) Supply Against Voucher is now Omitted.

Value Of Supply (Imp) - 4m.

Clarification on various doubts related to treatment of secondary or post-sale discounts under GST

Issue 1 : Whether recipient can avail full ITC when payment is made after discount via financial/commercial credit notes?

- Recipient is not required to reverse Input Tax Credit (ITC) on discounts given through financial/commercial credit notes.
- This is because such credit notes do not reduce the original value of supply.
- Consequently, the supplier's tax liability also remains unchanged.
- Hence, full ITC continues to be available to the recipient.

Issue 2: Whether a post-sale discount offered by a manufacturer to its dealer/ distributor is a consideration for inducement to supply goods further?

to Increase sale



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As per Section 2 (31), consideration as to include the monetary value of any act for the inducement of the supply of goods or services, whether by the recipient or by any other person.

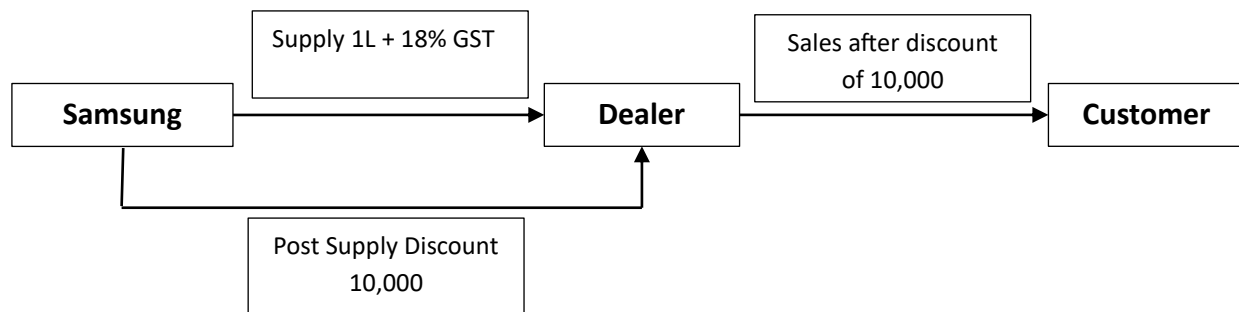
Case 1: Dealer independently sells to end customer

Such discount is NOT treated as consideration and is not includible in the value of supply.

Case 2: Discount is linked to Manufacturer – customer Agreement

- Manufacturer has an agreement to supply goods at a discounted price, and
- Manufacturer compensates the dealer through a financial/commercial credit note, such discount:
 - Acts as an inducement for the dealer to supply goods at the agreed price,
 - Forms part of consideration.

Therefore, it shall be included in the value of supply and GST shall be applicable.



- If there was no agreement between dealer and Samsung, then discount received from Samsung shall not be included in the VOS made by dealer to customer.
- However, if there is agreement between Samsung and dealer to Provide discount to customer to increase the sales then discount received from Samsung is included in VOS made by dealer to customer.

Issue 3: Whether a post-sale discount extended by the manufacturer to the dealer can be treated as a consideration in lieu of the activities performed to promote the sale of the goods?

Where a manufacturer gives post-sale discounts to dealers, such discounts shall not be treated as consideration for supply of services, if:

- The dealer undertakes general promotional activities to boost sales, and
- Such activities only help the dealer sell goods owned by him, thereby increasing his own revenue.



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In such cases, the discount merely reduces the sale price of goods and is not linked to any independent service rendered to the manufacturer.

Hence, no GST is leviable.

However, GST shall be leviable when:

- The dealer undertakes specific promotional or marketing activities, and
- Such activities are clearly mentioned in an agreement, with separate identifiable consideration.

Examples of such activities include:

- Advertising campaigns
- Co-branding
- Customization services
- Special sales drives
- Exhibitions
- Customer support services

In such cases, the dealer provides a distinct supply of service to the manufacturer, and GST shall be chargeable.

Crux: Post-sale discounts are not taxable when they merely reduce price, but become taxable when linked to specific promotional services provided under an agreement.

Example

If a dealer receives a post-sale discount and uses it generally to promote his own sales, it is not consideration and no GST applies.

However, if the dealer receives payment under an agreement for conducting an advertising campaign for the manufacturer, it is treated as a supply of service and GST is payable.

GST RETURNS

M10

The registered person whose aggregate turnover in any financial year is up to two crore rupees, from filing annual return that said financial year.

$$\begin{array}{l} \text{AR} - \text{CTP/ISD/TDS/TCJ} \cdot \\ \quad \quad \quad \oplus \\ \quad \quad \quad \text{T.O upto 2cr} \end{array} \left. \vphantom{\begin{array}{l} \text{AR} - \text{CTP/ISD/TDS/TCJ} \cdot \\ \quad \quad \quad \oplus \\ \quad \quad \quad \text{T.O upto 2cr} \end{array}} \right\} \text{AR} \times \cdot \quad \text{ie } \text{AR} > 2\text{cr}.$$



Sec 15(3) = DISCOUNT

Before / @ time of supply

exclude

└ if Disc. Record in Invoice

Disc NOT As per Agreement

└ GST Cr. Note - X → GST No Impact

└ A/c Credit Note / Financial / Commercial Cr. Note

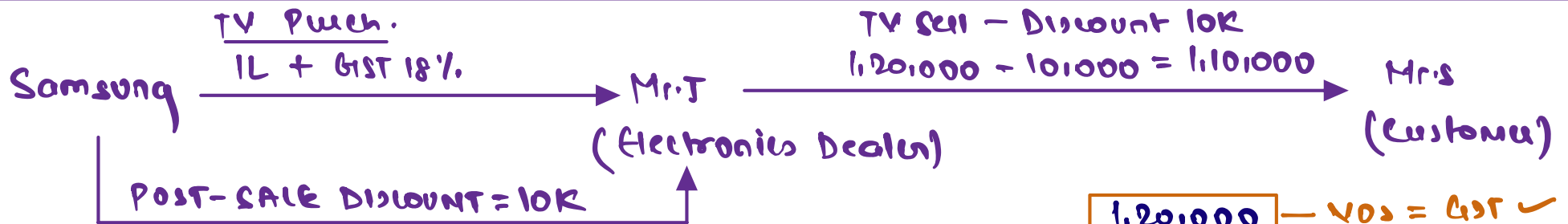
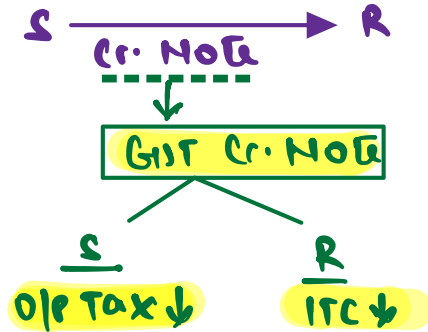
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No Impact on GST

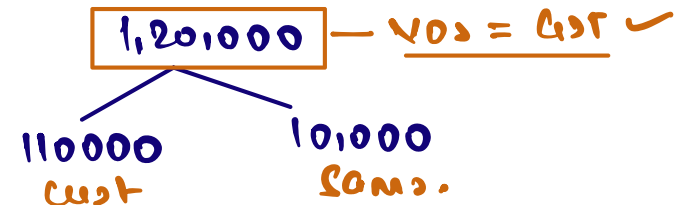
After supply

Exclude

- As per Agreement
- linked to Invoice
- Rec - ITC reverse



Money & Dealer - Agreement to Increase/boost Sale



Yes.

Disc offer by Mr. T (Dealer) to
customer included
In VOS

$$\therefore \underline{VOS = 1,20,000}$$

No such Agreement
ie dealer if offering discount
on Principle to principle
basis ie Indep. capacity
↓.

VOS doesn't include
Disc offered by T to
customer

$$\text{ie } VOS = 1,10,000$$

Electronic Showroom

LG BRAND Promotion

T Electronics

LG



THANK
YOU